CHAPTER 1 · THE FINANCIAL SYSTEM

Purpose: stimulates growth, drives efficient capital allocation, manages risk and overcomes *information asymmetry* between savers and borrowers.

Core functions:

- Produce **ex-ante** info on possible investments & allocate capital
- Monitor investments & exert **corporate governance** after financing
- Manage risk (diversification, hedging, insurance)
- Mobilise & **pool savings** across society
- Ease the **exchange** of goods and services (payment systems)

1.1.1 Flow of Funds & Intermediation

Four building blocks of the financial system:

- **Lenders & borrowers** (households, corporates, government, foreign sector)
- **Financial institutions** (intermediaries)
- **Financial instruments** (claims / contracts)
- **Financial markets** (where instruments trade)

Direct vs Indirect Financing

Direct: lender's risk/return/liquidity needs match the borrower's; a *broker* connects the two for a commission.

Indirect: intermediaries make markets in *two* instruments — **indirect securities** sold to lenders (deposit, policy, unit) and **primary securities** bought from borrowers. Intermediary absorbs the risk and term mismatch.

Sectors of lenders & borrowers

- **Household:** individuals, families, charities, religious & non-profits
- **Corporate:** all non-financial firms producing/distributing goods & services
- **Government:** central + provincial + local authorities
- **Foreign:** all individuals/institutions in the rest of the world

Types of financial intermediary

Banks · Insurance companies · Pension funds · Collective investment schemes · Asset managers · Stockbrokers · Custodians · Financial advisors.

Other services they provide

- Facilitating trading for clients (brokering)
- Trading on own capital — assisting client to transact
- **Creating** new financial assets and distributing them
- Investment advice & asset management
- Payment mechanism · risk diversification

ROLE IN THE GLOBAL ECONOMY

Financial institutions provide access to capital, facilitate growth, manage risk, promote financial inclusion and support government policy. They sit between investors and borrowers — accepting deposits at low rates and lending at higher rates; the spread is their **margin**. Without them the economy grinds to a halt.

1.3 HOW THE ECONOMIC MACHINE WORKS

Four sectors interact through financial institutions:

- **Households** — supply labour, consume, save (disposable income)
- **Firms** — invest, produce, employ, export (consumption + net exports)
- **Government** — taxes, transfers, government purchases, borrows
- **Rest of world** — imports / exports / foreign borrowing

GDP = Total income = Total production. Credit, deficits and interest rates are the basic forces driving economic cycles.

1.4 FINANCIAL INSTRUMENTS / PRODUCTS

A **promise to pay money in the future** in exchange for funds today. Created to satisfy savers, borrowers and intermediation. They are *intangible* but generally include shares and bonds.

Two market categories

- **Primary market** — securities issued *directly by issuer* to investor (IPO / FPO)
- **Secondary market** — investors trade previously-issued securities (Exchange-Traded or OTC)

MARKETABLE (tradeable in secondary markets)	NON-MARKETABLE (cannot be traded)
Bills of exchange · Promissory notes · Commercial paper · Company debentures · Treasury bills · Government bonds · Listed company shares · NCDs	Hire-purchase & leasing · Vehicle / auto loans · Mortgages · Overdrafts · Personal loans · Unlisted shares · Bank notes · Savings accounts · Fixed deposits · Insurance policies

Every transaction has **2 parties**: the **issuer** (received cash, owes payments) and the **investor** (provided cash, will receive payments).

Investment vehicles covered later: **Bonds, Shares, Derivatives, Real estate, Private equity, Commodities**.

1.6 FINANCIAL MARKETS

The **institutional arrangements, mechanisms and conventions** that exist for issuing and trading financial instruments.

Classifications

- **Cash & derivatives** — cash markets trade FX, money, bond, equity, commodity, property; derivatives derive value from an underlying
- **Spot & forward** — spot = immediate delivery and payment; forward = agreed price now, settle in future
- **Primary & secondary** — original issue vs subsequent trading
- **Exchanges & OTC** — formal marketplaces vs private bilateral negotiation
- **Interbank** — wholesale market for bank deposits, < 12 months, multiple currencies

1.6.1 Three Major Economic Functions

ECONOMIC FUNCTIONS · MEMORISE

1. Price Discovery — transactions between buyers and sellers determine the price of the traded asset; the required return signals where capital should be allocated.

2. Liquidity — investors can sell instruments at fair market value at any time; without it, issuers would be forced to liquidate at maturity. Liquidity differs by instrument and market.

3. Reduction of Transaction Costs — well-developed markets reduce the cost of trading; surviving institutions and instruments are those with the lowest transaction costs.

1.6.2 Development of Financial Markets

Money emerged because **barter** required a *double coincidence of wants*. Money progressed: *cowry shells* → *gold/silver* → *paper* → *plastic* → *electronic* → *mobile*.

Three characteristics of money

- **Means of exchange** — solves the double-coincidence problem and lets dissimilar objects be valued
- **Store of value** — must reliably preserve purchasing power over time
- **Unit of account** — same denomination & units; allows aggregation, accounting & price comparison

Banks added: specialised lending knowledge → reduced search costs · diversification → depositor reassurance · interest on deposits · margin from lending higher than they pay · transferability between accounts.

CHAPTER 2 · ROLE PLAYERS

Roles & interactions between: regulators, issuers, transfer secretaries, investors, exchanges, CSDs, intermediaries (banks, insurers, pension funds, asset managers, brokers, custodians, advisors), trade associations, professional bodies, National Treasury and the central bank.

2.1 Regulatory Authorities

High-level objectives: **financial stability, customer protection, market integrity, financial inclusion**.

The **Financial Sector Regulation Act 9 of 2017 (FSRA)** overhauled SA regulation and split prudential and conduct regulation into **two separate bodies** — the **Twin Peaks** model (covered in detail in Module 8).

2.1.1 Objectives of Regulation

- Protect consumers
- Promote capital formation
- Prevent systemic failure
- Ensure fair and orderly markets
- Increase efficiency of market operations
- Achieve social objectives (e.g. **AML** — anti-money-laundering)

2.1.2 Ministry of Finance

Responsible for fiscal policy & growth. The Minister's remit includes: **National Treasury · SARS · PIC · GEPF · FIC · FSCA**.

2.1.3 National Treasury

- Promote government's fiscal policy
- Coordinate macro-economic policy
- Manage the budget preparation process
- Facilitate the **Revenue Act**

2.1.4 South African Reserve Bank (SARB)

Central bank — *"achieve and maintain price stability in the interest of balanced and sustainable economic growth."*

- Formulate & implement **monetary policy**
- Issue banknotes & coin
- Supervise the banking sector
- Ensure effective national **payment system**
- Manage official gold & foreign-exchange reserves
- Banker to government
- Administer remaining **exchange controls**
- **Lender of last resort** in exceptional circumstances

2.2 Twin Peaks Framework

Splits regulation between **SARB (Prudential Authority)** — soundness & stability of financial institutions — and **FSCA** — market conduct & fair treatment of customers. Aim: stronger consumer protection & a stable system.

2.3 STOCK EXCHANGES

In SA the **JSE** regulates most equity trading. JSE acts as the **frontline regulator** — sets listing requirements & enforces trading rules. **Prudential Authority** supervises market infrastructures (exchanges, clearing houses); **FSCA** supervises their conduct. The JSE has **no criminal/civil jurisdiction** — cases of legislative breach are referred upward.

Other licensed equity exchanges:

ZARX · 4AX · A2X · Equity Express Securities Exchange (EESA).

2.4 / 2.10 CENTRAL SECURITY DEPOSITORY (CSD)

Holds all securities for a market in **dematerialised electronic form**; ownership transfers are processed by updating the electronic register rather than moving physical share certificates.

SA examples: **STRATE** (Share Transactions Totally Electronic) and **Granite**.

Governed by the **Financial Markets Act, 2012 (FMA)**; overseen by FSCA & Prudential Authority. CSDs supervise **Participants** they authorise to provide custody & settlement services to clients.

2.5 FINANCIAL INTELLIGENCE CENTRE (FIC)

SA's national centre for the receipt, analysis & dissemination of financial intelligence to the competent authorities.

Established by the **FIC Act 38 of 2001**. Mandate: identify proceeds of crime, combat money laundering and terror financing.

» **Accountable institutions** must register with the FIC
» Must keep records of client identification, transactions, internal compliance
» Must **report suspicious** & certain other transactions
» FIC + supervisory bodies may **inspect** & impose **administrative penalties**

2.6 ISSUERS

A **legal entity that originates, registers and sells securities** on regulated exchanges to finance its operations — usually **governments or companies**. Legally responsible for the obligations of the issue and reporting financial conditions, material developments and operational activities required by law.

Most common securities: **equity** (Module 2) and **debt** (Module 3). The choice depends on capital, obligations, costs and risk-return factors.

2.7 TRANSFER SECRETARIES

Appointed by the **issuer** to maintain records of **legal ownership** of the company's securities and to ensure **interest, dividends and other distributions** reach the rightful holders of stocks and bonds.

2.8 INVESTORS

Market participants who **buy securities** in the belief their capital will increase in value over time. Two high-level categories:

» **Retail investors** — invest on their own account; often non-professional; may use a broker / financial advisor to finalise investment strategy.
» **Institutional investors** — invest on behalf of *others* (pension funds, insurance & life-assurance companies, collective investment schemes). They **pool** smaller investors' funds and channel them at scale.

2.9 EXCHANGES

Provide the platform for companies to **raise capital** and for investors to **access investment opportunities**. Designed to ensure transparency & **price discovery**.

» Facilitate trading between buyers and sellers in the primary & secondary markets
» Create **liquidity** for all investors, lowering transaction costs
» Prices adjust quickly to new info → efficient capital allocation
» Ensure an **orderly market**, distribute information
» Facilitate **clearing & settlement** and protect investor interests

2.11 CLEARING HOUSES (CCP)

A **Central Counterparty** that interposes itself between buyer and seller to **guarantee contracts** — eliminates the risk of one party failing to honour settlement obligations.

SA: **JSE Clear** clears exchange-traded derivatives.

Also **determines profit & loss on all open positions** by revaluing them at the close of each business day at the closing contract prices traded on the exchange — known as **marking-to-market**.

2.12 TRADE ASSOCIATIONS & PROFESSIONAL BODIES

Firms in the financial services industry join forces to share expertise about issues they have in common. SA examples: **Banking Association of South Africa (BASA)** and **ASISA** (Association for Savings & Investment SA).

EXAM-FOCUS · KEY ACRONYMS

FSRA	Financial Sector Regulation Act 9 of 2017
FMA	Financial Markets Act, 2012
SARB	South African Reserve Bank — Prudential Authority
FSCA	Financial Sector Conduct Authority — market conduct
FIC	Financial Intelligence Centre — AML / CFT
JSE	Johannesburg Stock Exchange — frontline regulator
CSD	Central Securities Depository — STRATE / Granite
CCP	Central Counterparty — JSE Clear
IPO/FPO	Initial / Follow-on Public Offer (primary market)
OTC	Over-the-Counter — bilateral, off-exchange
NCD	Negotiable Certificate of Deposit
GDP	Gross Domestic Product = Income = Production